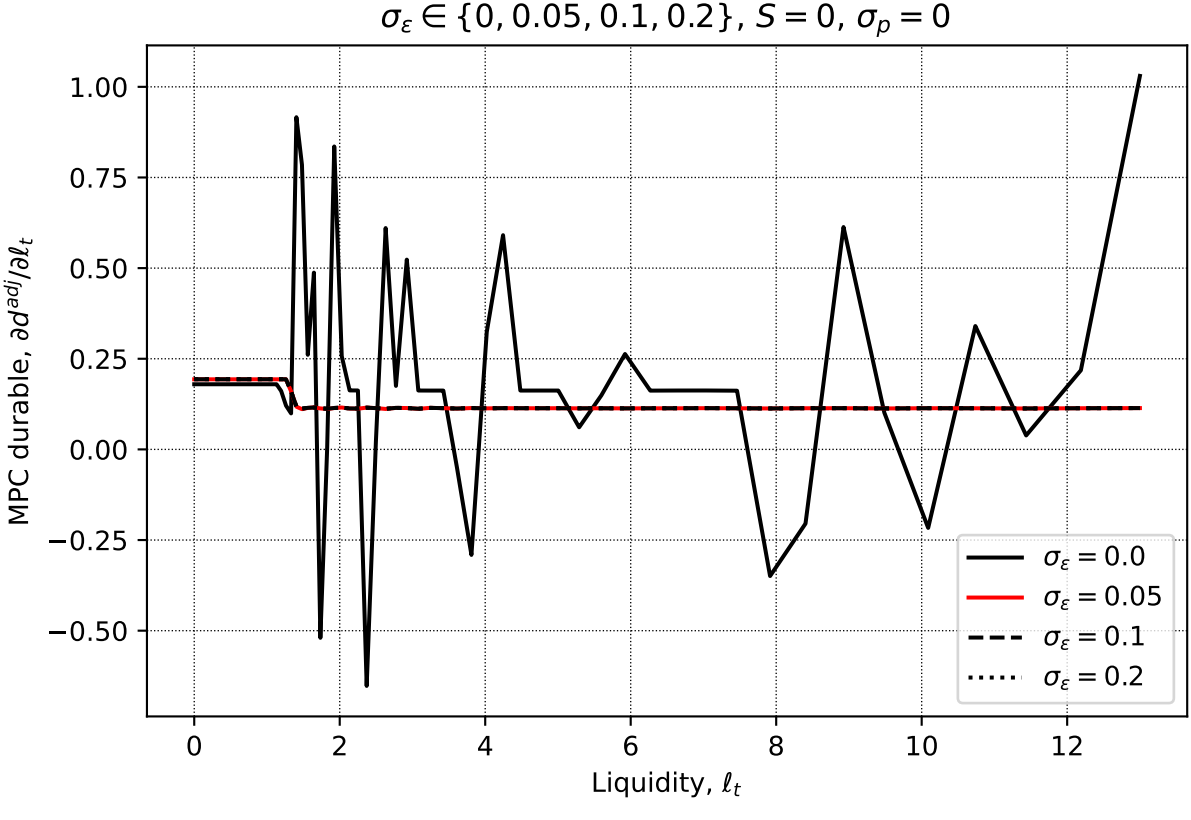
$\sigma_\varepsilon \in \{0, 0.05, 0.1, 0.2\}$, $S = 0$, $\sigma_p = 0$
MPC durable, $\partial d^{adj}/\partial \ell_t$
Liquidity, $\ell_t$
1.00
0.75
0.50
0.25
0.00
−0.25
−0.50
0
2
4
6
8
10
12
$\sigma_\varepsilon = 0.0$
$\sigma_\varepsilon = 0.05$
$\sigma_\varepsilon = 0.1$
$\sigma_\varepsilon = 0.2$